IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH – I, CHENNAI

CP/625/CAA/2020
IN
CA/51/CAA/2020

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation of*

AMARYLLIS PROPERTIES PRIVATE LIMITED
CIN:-U45200TN2011PTC080568
No.12, South Mada Street,
Srinagar Colony,
Saidapet, Chennai – 600 015

... Petitioner/ Transferor Company – 1

And

ROYALSOFT SERVICES LIMITED
CIN:-U67190TN1994PLC029501
No.12, South Mada Street,
Srinagar Colony,
Saidapet, Chennai – 600 015

... Petitioner/ Transferor Company – 2

And

CHRYSALIS PLAY SCHOOL PRIVATE LIMITED
CIN:-U80902TN2019PTC130678
No.12, South Mada Street,
Srinagar Colony,
Saidapet, Chennai – 600 015

... Petitioner/ Transferee Company

And

ITS SHAREHOLDERS AND CREDITORS

Order Pronounced on ***6th April 2022***

CORAM:
R SUCHARITHA, MEMBER (Judicial)
SAMEER KAKAR, MEMBER (Technical)

For Petitioner : Krishna Sharan Mishra, PCS

ORDER

***Per:* R. SUCHARITHA, MEMBER (Judicial)**

CP/625/CAA/2020 is a joint Company Petition filed by the Petitioner Company for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as the 'SCHEME') as contemplated between the Companies viz. **M/s. AMARYLLIS PROPERTIES PRIVATE LIMITED** *(hereinafter referred to as "Transferor Company – 1)* and **M/s.ROYALSOFT SERVICES LIMITED***(hereinafter referred to as "Transferor Company – 2)*and **M/s. CHRYSALIS PLAY SCHOOL PRIVATE LIMITED***(hereinafter referred to as "Transferee Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme proposed between the Companies and the said Scheme is also annexed as "Annexure 8" to the typed set filed along with the Petition.

2. The Petitioner/ 1st Transferor Company, is a Private Limited Company, incorporated on 10.05.2011, under the provisions of the

Companies Act, 1956, having its registered office at No.12, South Mada Street, Srinagar Colony, Saidapet, Chennai – 600 015.

3. The Petitioner/ 2ndTransferor Company, is a Private Limited Company, incorporated on 12.12.1994, under the provisions of the Companies Act, 1956, having its registered office at No.12, South Mada Street, Srinagar Colony, Saidapet, Chennai – 600 015.

4. The Petitioner/ Transferee Company, is a Private Limited Company, incorporated on 09.10.2012, under the provisions of the Companies Act, 1956, having its registered office at No.12, South Mada Street, Srinagar Colony, Saidapet, Chennai – 600 015.

5. The Board of Directors of the Transferor and Transferee Companies have approved the Scheme of Amalgamation contemplated between the Petitioner Companies vide Board resolution dated 30.08.2019 and the same is appended as 'Annexure – 7' to the typed set filed along with the Petition.

6. 1ST MOTION APPLICATION – IN BRIEF

6.1. This Tribunal vide its Order dated 14.07.2020 in passed inCA/51/CAA/2020, had ordered for dispensation of the meetings of the equity shareholders / Secured and Unsecured Creditors of the Transferor Company – 1, 2 and the Transferee

Company. Subsequent to the said order, the Petitioner Company has filed the present Petition before this Tribunal on 15.09.2020 for sanction of the Scheme of Amalgamation by this Tribunal.

7. RATIONALE OF THE SCHEME

7.1. The Rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would *inter alia* result in the following benefit;

a. Benefit of operational synergies to the combined entity in hitherto untapped high growth segments for the Transferee Company can be put to the best advantage of all the stakeholders;

b. It would result in economies of scale, effective coordination and better control;

c. Consolidation and simplification of group structure by eliminating multiple companies;

d. Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business processes, usage of common resource pool like human resource, administration, finance, accounts, legal, technology and other related functions, leading to elimination of duplication and rationalization of administrative expenses;

e. Improved organizational capability and leadership, arising from the pooling of human capital that has the

diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry; and

f. Cash flow generated by the combined business can be deployed more efficiently to fund organic and inorganic growth opportunities;

8. In the second motion Petition filed by the Petitioner, this Tribunal vide order dated 12.02.2021 has directed the Petitioner Company to issue notice to the following Statutory Authorities viz. (i) Official Liquidator (ii) Regional Director (Southern Region); (iii) ROC, Chennai and (iv) Income Tax Department.

9. In compliance with the said directions issued by this Tribunal, the Authorised Representative of the Petitioner Companies had filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (Chennai Edition) in English and "Makkal Kural" (Chennai Edition) in Tamil on 6th March 2021. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai, (ii) Registrar of Companies Chennai, (iii) Income Tax Department, (iv) Official Liquidator and the proof of the same by way of affidavits have been enclosed with the typed set filed along with the Petition. Pursuant to the service of notice

of the petition the following statutory authorities have responded as follows:

10. STATUTORY AUTHORITIES

10.1. REGIONAL DIRECTOR

10.1.1. The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 04.11.2020 and has stated that Clause 8 of Part B of the Scheme provides for the protection of the interest of the employees of the Transferor Companies. Further, it is submitted that there are no complaints/ prosecution/ inspection/ Investigation pending against the Transferor Company. However, in para 10 and 11 it has been observed as follows:

> *10. It is humbly submitted that as per Clause 11 of Part B of the Scheme, the Authorized Share Capital of the Transferee Company shall stand enhanced to Rs.6.85 Crores divided into 58.50 Lakh Equity Share of Rs.10 each and 10 Lakh Preference Shares of Rs.10 each upon the scheme becoming effective. The transferee company may be directed to comply with the provisions of clause (i) of sub section (3) of Section 232 of Companies Act, 2013 in respect of payment of further fees / stamp duty. The transferee Company may also be directed to file the amended*

MOA and AOA with RoC, Chennai indicating the enhanced authorized capital.

11. It is submitted that Clause 4.10 of Part B of the Scheme has provided that the name of the Transferee Company shall be changed to that of the name of the Transferor Company – 1 upon scheme becoming effective as 'Amaryllis Properties Private Limited' from 'Chrysalis Play School Private Limited' in compliance to ensure continuity of business operations. The Transferee Company may be directed to comply with the procedures as laid down under Section 12 of the Companies Act, 2013 and Rules made thereunder.

10.1.2. Thus, after examining the Scheme, the Regional Director in para 15 of its Report has stated that they have decided not to make any objection to the Scheme except for the observation made above.

10.1.3. In response to the same, the Petitioner Company has filed a reply stating that they undertake to comply with the provisions of clause (i) of sub section (3) of Section 232 of the Companies Act, 2013 in respect of payment of further fees stamp duty, if deem necessary upon scheme coming into effect. Further, it has also been stated that the Transferee Company undertakes to

comply with the procedures as laid down under Section 13 of the Companies Act, 2013 and Rules made there under and shall file necessary e-forms, upon receipt of the communication of the order of sanctioning of the Scheme by this Tribunal.

10.2. OFFICIAL LIQUIDATOR

The office of the Official Liquidator (For short, 'OL') has filed its report before this Tribunal on 01.01.2021, wherein based on the report of the independent auditor (appointed by the office OL)had observed as follows;

- All the statutory books and registers required to be maintained under the Companies Act, 2013 for the period from 01.04.2016 to 31.07.2019 which includes the Audited Balance Sheet and Statement of Profit and Loss for the above said period, minutes books of the meetings of the members and Directors since the date of incorporation of M/s. Amaryllis Properties Private Limited and M/s. Royal soft Services Limited have been examined.

- The Companies are maintaining proper books of accounts and statutory record as per requirement of Companies Act, 2013.

- All entries have been made in the statutory records as per requirements of the Companies Act, 2013.

- The records and documents of the Registrar of Companies, Chennai and nothing adverse or objectionable affecting the interest of the Company or its members or creditors or prejudicial to the public interest was noticed.

- The accounts and records of the Transferor Companies have been audited and the Auditor's Report were not qualified for the year ended 31.03.2017, 31.03.2018 and 31.03.2019.

10.3. From the above observations made by M/s. Sarathy& Vasu, Chartered Accountants, the Official Liquidator sought to take on record and consider the report of the appointed Chartered Accountant firm and has also sought to fix the remuneration payable to the Chartered Accountant firm who has investigated into the affairs of Transferor Company – 1 and 2. In this regard, this Tribunal hereby directs the Transferor Company 1 and 2 to jointly pay a sum of **Rs.50,000/-** *(Rupees Fifty Thousand Only)* to the Official Liquidator for the payment of fees payable towards the appointed Chartered Accountant firm who has investigated into the affairs of the Transferor Company – 1 and 2.

10.4. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any

reply nor raised any objections to the Scheme and in the circumstances, this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that other statutory Department viz. The Income Tax Department does not have any objection to the sanction of the Scheme

11. ACCOUNTING TREATMENT

The Learned Senior Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies has complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of each Petitioner Companies is annexed along with the typed set.

12. OBSERVATIONS OF THIS TRIBUNAL

12.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way

detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation appended as "Annexure 8" along with CP/625/CAA/2020.

12.2. The Learned Authorized Representative for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

12.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

12.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

13. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company – 1 and 2 shall pursuant to section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company – 1 and 2 shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Transferor Company – 1 and 2be continued by or against the Transferee Company.

(iv) That all the employees of the Transferor Company – 1 and 2 in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(v) That the Appointed date for the Scheme shall be **1st August 2019** as specified in the Scheme itself.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Company – 1 and 2, as have not given such notice of dissent, as is required by Clause 5.2 of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the

Transferor Company and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said both companies shall be consolidated accordingly.

(ix) That any person interest shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

14. Accordingly, the Company Petition CP/625/CAA/2020 stand **allowed** on the aforementioned terms.

-Sd-
SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-
R. SUCHARITHA
MEMBER (JUDICIAL)

Raymond